



भारत हेवी इलेक्ट्रिकल्स लिमिटेड
Bharat Heavy Electricals Limited
(भारत सरकार का उपक्रम / A Government of India Undertaking)
CIN: L74899DL1964GOI004281

From: Dr. Yogesh R Chhabra, Company Secretary,
BHEL, BHEL House, Siri Fort, New Delhi – 110049

To: 1. BSE Limited, Mumbai
2. National Stock Exchange of India Ltd., Mumbai

Sub: Minor correction in Business Responsibility & Sustainability Report of Annual Report 2023-24

Data pertaining to male and female numbers of employee are updated in Page no. 116 and 122 of Business Responsibility & Sustainability Report (BRSR) including Annexure-V: BRSR in Annual Report. These changes have no material/ financial implications.

No. AA/SCY/AGM 60
Date: 30.07.2024

YOGESH R CHHABRA
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Date: 2024.07.30
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(Dr. Yogesh R Chhabra)
Company Secretary
shareholderquery@bhel.in

Annexure-V to the Board's Report

Business Responsibility & Sustainability Report

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L74899DL1964GOI004281
2.	Name of the Listed Entity	BHARAT HEAVY ELECTRICALS LIMITED
3.	Year of incorporation	13 November 1964
4.	Registered office address	BHEL House, Siri Fort, New Delhi – 110049
5.	Corporate address	BHEL House, Siri Fort, New Delhi – 110049
6.	E-mail	shareholderquery@bhel.in
7.	Telephone	011-66337598
8.	Website	www.bhel.com
9.	Financial year for which reporting is being done	FY 2023-24
10.	Name of the Stock Exchange(s) where shares are listed	BSE LIMITED (BSE) AND NATIONAL STOCK EXCHANGE OF INDIA LIMITED (NSE)
11.	Paid-up Capital	₹ 696.41 Crores
12.	Name and contact details (telephone, email address) of the person who may be contacted in case of any queries on the BRSR report	Sandeep Singh Baraith (DGM– Corporate Strategic Management), email: s.baraith@bhel.in , 011-66337554
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together)	Standalone basis
14.	Whether the company has undertaken reasonable assurance of the BRSR core	Yes, certificate at the end
15.	Name of assurance provider	BUREAU VERITAS (INDIA) PRIVATE LIMITED
16.	Type of assurance obtained	Reasonable assurance

II. Products/services

17. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
1	Power Segment	The Power segment comprises thermal, gas, hydro, nuclear power plant businesses, and spares & services business apart from new businesses of coal to chemicals, emission control equipment and spares for Non-BHEL sets	77%
2	Industry Segment	The Industry segment caters to major equipment supplies and EPC works for a number of industries including transportation, transmission, defence, aerospace, captive power plants, process industries, renewables, downstream oil & gas, and energy storage, among others	23%

18. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total contributed Turnover
1	Construction and maintenance of power plants, other than hydro-electric power plants	45207	27%
2	Manufacture of steam or other vapour generating boilers and hot water boilers other than central heating boilers	28131	26%
3	Manufacture of steam engines and turbines	29111	9%
4	Manufacture of transformers of all sizes and types & rewinding of electric motors	31102	7%
5	Manufacture of electricity distribution and control apparatus [electrical apparatus for switching or protecting electrical circuits (e.g. switches, fuses, voltage limiters, surge suppressors, junction boxes etc.) for a voltage exceeding 1000 volts; similar apparatus (including relays, sockets etc.) for a voltage not exceeding 1000 volts; boards, panels, consoles, cabinets and other bases equipped with two or more of the above apparatus for electricity control or distribution of electricity including power capacitors.]	31200	8%
6	Manufacture of generators/generating sets	31101	5%
7	Manufacture of electric motors : universal AC/DC motors and DC motors or generators	31103	3%
8	Manufacture of other movers n.e.c. hydraulic turbines, water wheels and their regulatory machinery; gas turbines for marine propulsion or for use as prime movers of electric generators or pumps; boiler-turbine set or a stationary steam engine with integral boiler.	29119	4%
9	Manufacture of distilling and rectifying plants; heat exchangers; machinery for liquefying air or gas; producer gas or water gas and acetylene gas generators	29198	2%

III. Operations

19. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	16	29	45
International	0	1	1

The company has 16 manufacturing units (or plants), 2 repair units, 4 regional offices, 8 service centres, and 15 regional marketing centres. For plant names, refer 'Pan India Presence'.

20. Markets served by the entity:

- a. Number of locations

Locations	Number
National (No. of States)	28 (states), 8 (Union Territories)
International (No. of Countries)	89

- b. What is the contribution of exports as a percentage of the total turnover of the entity?

Exports contribute approx. 3.02% of total turnover.

- c. A brief on types of customers

BHEL customers span across Government, Government ministries, Parastatal agencies, Government-owned entities, Independent Power Producers (IPP) and Private companies.

IV. Employees

Refer definitions of 'Employee' under Sec 2 (l) of the Industrial Relations Code, 2020 and 'worker' under Sec 2 (zr) of the Industrial Relations Code, 2020 as per the guidelines of BRSR format. Also refer definition of 'permanent employee', 'permanent worker', 'other than permanent employee' and 'other than permanent worker' in the guidelines of BRSR format. As per the assessment of the definition, 'Employees' include 'Employees' as well as 'Workers' for 'Permanent' and 'other than Permanent' category in below data points.

21. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
EMPLOYEES						
1.	Permanent (D)	28673	26996	94.15%	1677	5.85%
2.	Other than Permanent (E)	17361	15764	90.80%	1597	9.20%
3.	Total employees (D + E)	46034	42760	92.89%	3274	7.11%
WORKERS						
4.	Permanent (F)	14207	13846	97.46%	361	2.54%
5.	Other than Permanent (G)*	17244	15648	90.74%	1596	9.26%
6.	Total workers (F + G)	31451	29494	93.78%	1957	6.22%

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C / A)
DIFFERENTLY ABLED EMPLOYEES						
1.	Permanent (D)	821	799	97.32%	22	2.68%
2.	Other than Permanent (E)	51	40	78.43%	11	21.57%
3.	Total employees (D + E)	872	839	96.22%	33	3.78%
DIFFERENTLY ABLED WORKERS						
4.	Permanent (F)	383	380	99.22%	3	0.78%
5.	Other than Permanent (G)*	51	40	78.43%	11	21.57%
6.	Total workers (F + G)	434	420	96.77%	14	3.23%

*BHEL awards job/ works contracts to contractors at its various Units/ Divisions/ Departments as per organizational needs. The number of workers with contractors varies from time to time.

22. Participation/ Inclusion/ Representation of women

	Total (A)	No. and percentage of Females	
		No. (B)	% (B/A)
Board of Directors	9	3	33.33%
Key Management Personnel	1	0	0%

Status as on March 31, 2024

23. Turnover rate for permanent employees and workers

Turnover rate for the year is defined as 'Number of persons who have left the employment of the entity in the year*100/ Average number of persons employed in the category'.

	FY 2023-24			FY 2022-23			FY 2021-22		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent employee	3.34%	4.59%	3.42%	4.01%	4.97%	4.15%	5.45%	3.77%	5.29%
Permanent worker	2.55%	4.43%	2.60%	3.21%	7.66%	3.41%	3.71%	6.51%	3.78%

V. Holding, Subsidiary and Associate Companies (including joint ventures)

24. (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary/ associate companies/ joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1.	BHEL-GE GAS TURBINE SERVICES P. LTD	Joint Venture	49.99%	No
2.	NTPC BHEL POWER PROJECTS PVT LTD	Joint Venture	50.00%	No
3.	RAICHUR POWER CORPORATION LTD	Joint Venture	22.14%	No

Refer Annexure - IX to the Board Report - Form AOC - I

VI. CSR Details

25. CSR details

- (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes, CSR is applicable for BHEL
- (ii) Turnover: ₹ 22,920.52 Crores
- (iii) Net worth: ₹ 24,850.59 Crores

VII. Transparency and Disclosures Compliances

26. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2023-24			FY 2022-23		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Communities	Yes https://pgportal.gov.in/	186	1	Closed in April 2024	218	0	-
Investors (other than shareholders)	No	0	0	-	0	0	-

Shareholders	Yes The contact details provided at www.bhel.com	8	0	-	13	0	-
Employees and workers	Yes (Internal system)	74	35	-	196	175	-
Customers*	Yes (Internal system)	330	74	-	466	219	-
Value Chain Partners	Yes https://suvidha.bhel.in/	61	11	-	92	09	-
Other (please specify)	=	-	-	-	-	-	-

* Consolidation of customer complaint under single system is under implementation

Refer Annexure – II to Board's Report, Corporate Governance, Shareholders committee

Refer Annexure – VIII to Board's Report, Vigil Mechanism

27. Overview of the entity's material responsible business conduct issues

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Energy Management & Carbon Footprint	O	Opportunity to utilize energy efficiently, fuel switching viz. use of renewable energy, enhanced green cover, and improved energy efficiency & conservation to address cost reduction and climate change. Refer Principle 6	-	Positive implications
2.	Water and waste management	O	Reduction in impact on the environment by efficiently managing & recycling/ reusing natural resources like water and waste generated during operations	-	Positive implications
3.	Skilled manpower	R	The lack of new skill set and competencies for New products/ business pose risk for future business revenues	Reskilling of workforce and lateral hiring of required skill sets. Refer Principle 3	Negative implications
4.	Health and Safety	R	Managing Safety and Health is an integral part of our business. The hazards and risks at the workplace(s), Project site(s), Shop(s) can cause harm to employees, workers and other stakeholders thereby hampering operations.	Employee and workers mandatorily undergo Health, Safety & Environment (HSE) related training on regular basis. These trainings are also provided at the induction level as well. Frequent Safety Assessment by HSE Team and third party audits are conducted. Refer Principle 3	Negative implications

27. Overview of the entity's material responsible business conduct issues (Contd.)

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
5.	Human Rights & Labour conditions	R	Responsibility to identify and manage Human Rights issues and uphold labor standards in the operations and supply chain. Non-compliance to regulations on Human Rights and labor standards has associated risks and consequential damages.	BHEL policies are in line with the principles of Human Rights, the constitution of India and applicable laws. The company has special provisions for ensuring safeguard of women employees at the workplace. BHEL complies with all the provisions of labour law applicable to BHEL. The company is one of the founding member of Global Compact network, India (GCNI) and is a part of initiatives in India. Refer Principle 3 and 5	Negative implications
6.	Employee engagement, diversity & inclusion	O	- Employee engagement enhances productivity and hence affects the bottomline. - Diversity/ equal opportunity helps in upliftment of the civic society as a whole. The Company is an equal opportunity employer and does not discriminate on the basis of gender, race, caste, religion, linguistic, region etc. in recruitment and employment relationship guided by Govt policies leading to a diverse culture and talent	-	Positive implications
7.	Social engagement & impact	O	CSR plays an important role in uplifting societies and communities who are vulnerable & marginalized. It also improves company's brand perception; attractiveness to customers, employees, and investors; and overall business success.	-	Positive implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
8.	Data and Cyber Security	R	Risks emanating from cyber threat leads to loss in revenue on account of operational time loss, critical data loss (organisation & customer) affecting business.	The company has identified cyber security as one of the Top risks of the company. Accordingly, various mitigation measures have been taken for minimisation of the risk viz. the company is certified for ISO/ IEC 27001 and has implemented Information Security Management System (ISMS) across organisation; implementation of Centralized solution for Endpoint security, Next-Gen Cyber Security Operations Center (Cyber SOC), Security Orchestration Automation and Response (SOAR) and Web Application Firewalls (WAFs). Threat intelligence from external sources is integrated with Security Information and Event Management (SIEM) to ensure real time action. Further details have been included in Section 1.12 of the Board Report.	Negative implications
9.	Product Safety	R	Lack of Product quality and safe functioning of product impacts company's brand image, liability claims and increases cost (rework costs) etc.	The manufacturing facilities churn out a wide range of high quality & reliable products adhering to national and international standards. Every product offering of BHEL has product manuals and are labelled with detailed product labels/ name plates/ test certificates as per the requirement and terms of contracts with customers besides the mandatory statutory requirements. Customers are offered training on operating the products as per the contractual conditions.	Negative implications

S. No.	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
10.	Corporate Governance and business ethics	R	Values/ Ethical behavior is acting in ways that are consistent with how the company views moral principles and values. Not adhering can lead to reputational risks arising due to integrity, inter-personnel relationships at workplace, conflict of interest and adverse impact on business	BHEL believes in conducting its business in compliance with Corporate Governance procedures and code of conduct, exemplifies each of the core values, favourable outcomes to the customers, attractive opportunities to the employees, opportunity to the suppliers to partner the Company in progress and enrichment of the society. BHEL codes/ procedure are in place such as whistleblower policy, fraud prevention policy, CDA rules etc. Refer Principle 1.	Negative implications
11.	Climate change	R	Reduction in demand for capital goods product that emit GHG emissions. The reduction in demand is a direct consequence to country/ global level policy changes	Adoption of new technologies & diversifying product portfolio with low emission products.	Negative implications
12.	Sustainable product & services	O	New business opportunities due to energy transition and climate actions by our customers	-	Positive implications
13.	Material Sourcing	R	Geopolitical uncertainties, increasing same material demand from other sectors causes supply risk and material price volatility which leads to delay in product deliveries as well as challenge in product pricing	Promoting 'Make in India'/ indigenization of items, etc.	Negative implications
14.	Fuel Economy & Emissions in Use-phase (Operational life of the product)	O	Customer preferences for improved fuel economy combined with regulations & restricting emissions are increasing the demand for energy-efficient and lower-emission products in the industry.	Diversifying product portfolio with new products having improved features complying with the statutory norms.	Negative Implications

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7*	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N [#]	Y	Y
b. Has the policy been approved by the Board? (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N [#]	Y	Y
c. Web Link of the Policies, if available@	i, ii, iii, iv	-	v	vi	vii	v	-	vi	-
2. Whether the entity has translated the policy into procedures. (Yes/No/NA)	Y	Y	Y	Y	Y	Y	N	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No/NA)	Y	N	N	N	N	N	N	N	N
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.*	e, f	a, b, c	b, c, e, f	f	e, f	b, d	f	f	a
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	NA	50% order book from non-fossil sectors (FY23-27)	NA	NA	NA	- Planting of 75,000 saplings - Green-Co rating assessment of five manufacturing unit	NA	NA	NA

6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.	NA	32% during FY24	NA	NA	NA	• 81,608 saplings planted • Five manu-facturing units as-sessed for GreenCo rating. Received three Green-Co silver rating and two GreenCo Bronze rating	NA	NA	NA
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Governance, leadership and oversight

7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure)

The issue of climate change and imperative for climate action has become a key factor influencing business strategies and policies. BHEL has always been an environment conscious organization and already offering many products and solutions for mitigating the impacts of climate change and further working on many related emerging technologies. It has been working relentlessly for reducing environmental footprint of its own operations through a well laid out Environment Management System.

To address the emerging situation, BHEL has launched 'Harit BHEL' initiative, to position itself as a Green Company. This also includes enhanced focus on ESG principles, which in turn will help the company foster a culture of innovation in delivering environment friendly products and services.

8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy(ies).	Name: Krishna Kumar Thakur Designation: Director (HR) DIN: 10172666 Telephone: 011- 26001003 Email id: dhr@bhel.in
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9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	Name: Krishna Kumar Thakur Designation: Director (HR) DIN: 10172666 Telephone: 011- 26001003 Email id: dhr@bhel.in
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Subject for Review	Indicate whether review was undertaken by Director / Committee of the Board/Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
10. Details of Review of NGRBCs by the Company:																		
Performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.																	

Description of other committee for performance against above policies and follow up action	Reviews and frequency are provided in Section C of BRSR wherever applicable.
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.
Description of other committee for compliance with statutory requirements of relevance to the principles and rectification	Review and frequency on compliance with statutory requirement are provided in section C of BRSR wherever applicable.
11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	Policies and procedures of the organization are subject to audits/ reviews by ISO 9001, ISO 14001, ISO 45001, ISO 27001, CAG, Parliamentary Committees, Administrative Ministry, etc.

*a. ISO 9001; b. ISO 14001; c. ISO 45001; d. ISO 50001; e. ten principles of UNGC on human rights, labour, environment and anti-corruption; f. DPE guidelines

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- i. <https://www.bhel.com/code-business-conduct-ethics-board-members-senior-management-personnel>
- ii. <https://www.bhel.com/code-conduct-prevention-insider-trading>
- iii. <https://www.bhel.com/bhel-fraud-prevention-policy-0>
- iv. <https://www.bhel.com/whistle-blower-policy-0>
- v. <https://www.bhel.com/sites/default/files/HSEPOLICY.pdf>
- vi. https://www.bhel.com/sites/default/files/BHEL_CSR_Policy_2022.pdf
- vii. <https://www.bhel.com/commitment-ungc-programme>

Notes:

We have practices & procedures established based on these principles, but do not have formal policy document with respect to one of them.

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
The entity does not consider the Principles material to its business (Yes/No)	No	No	No	No	No	No	No	No	No
The entity is not at a stage where it is in a position to formulate and implement the policies on specified principles (Yes/No)	No	No	No	No	No	No	Yes	No	No
The entity does not have the financial or/human and technical resources available for the task (Yes/No)	No	No	No	No	No	No	No	No	No
It is planned to be done in the next financial year (Yes/No)	No	No	No	No	No	No	No	No	No
Any other reason (please specify)	No	No	No	No	No	No	No	No	No

In respect of Principle 7 referring to Policy Advocacy, although company doesn't have policy but follows established practices based on 'Policy advocacy in a responsible manner'

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

Principle 1: Ethics, Transparency and Accountability

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

BHEL conducts several training programmes for its employees and Directors. These training programmes are curated based on the requirements and include several topics (which in some form covers the nine principles) within a program.

Segment	Total number of training and awareness programmes held	Topics / principles covered under the training and its impact	%age of persons in respective category covered by awareness programmes
Board of Directors	9	Familiarisation with Project activities & progress; BHEL's journey in manufacturing & EPC capabilities; Governance, Effectiveness of independent directors, Board dynamics & management relationships; Finance for effective decision making; Contribution of BHEL in Strategic & core sectors of economy; Roadmap for future- Strategic Plan 2022-27; Machining, testing & handling facilities for large-size Turbo Generator assemblies; Statutory & regulatory provisions under Companies Act, 2013, Listing (Obligation & Disclosure Requirements) Regulations, 2015; DPE Guidelines and Secretarial Standards; Capacity Building of Functional Directors; Vigilance Management in CPSEs	100%
Key Managerial Personnel (other than Board of directors)	3	The topics covered were Digital Data Protection Act, Alternate Dispute Resolution & HR which are part of the legal framework under which the Company operates	100%
Employees other than BoD and KMPs	1690	Technical, functional, safety, managerial & behavioural topics in line with nine principles	72.8%
Workers	1690		48.4%

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (INR)	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Penalty/ Fine	NIL	NIL	0	NIL	NIL
Settlement	NIL	NIL	0	NIL	NIL
Compounding fee	NIL	NIL	0	NIL	NIL

Non-Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/ No)
Imprisonment	NIL	NIL	NIL	NIL
Punishment	NIL	NIL	NIL	NIL

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed-

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

Yes, BHEL has a policy for anti-corruption and anti-bribery. As a part of BHEL's persisting endeavor to set a high standard of conduct for its employees (other than those governed by standing orders), 'BHEL Conduct, Discipline and Appeal Rules, 1975' is in place, which is updated periodically. This is augmented by 'Fraud Prevention Policy and Whistle Blower Policy. The Company is subject to RTI Act 2005, audit by Statutory Auditors and CAG audit under section 139 of the Companies Act, 2013.

<https://www.bhel.com/bhel-fraud-prevention-policy-0>

<https://www.bhel.com/whistle-blower-policy-0>

In the area of business dealings with vendors and customers, BHEL has signed an MoU with Transparency International India (TII) to adopt 'Integrity Pact' to make procurement and contracting more transparent by binding both the parties to ethical conduct. A panel of three Independent External Monitors (IEMs) has been appointed to oversee implementation of Integrity Pact in BHEL, with due approval of Central Vigilance Commission.

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2023-24	FY 2022-23
Directors	0	0
KMPs	0	0
Employees	1	4
Workers	0	0

6. Details of complaints with regard to conflict of interest:

	FY 2023-24		FY 2022-23	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	0	--	0	--
Number of complaints received in relation to issues of Conflict of Interest of the KMPs (other than directors)	0	--	0	--

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest-

Refer Annexure - VIII to the Board's Report, Vigil Mechanism

8. Number of days of accounts payable ((Accounts payable * 365) / Cost of goods/ services procured) in the following format:

	FY 2023-24	FY 2022-23
Accounts payable x 365 days	4,18,83,75,00,00,000	3,98,65,30,00,00,000
Costs of goods/ service procured (₹)	1,72,55,00,00,00,000	1,64,80,00,00,00,000
Number of days of accounts payables	243	242

9. Open-ness of business: Provide details of concentration of purchases and sales with trading houses, dealers, and related parties along-with loans and advances & investments, with related parties, in the following format:

Parameter	Metrics	FY 2023-24	FY 2022-23
Concentration of Purchases	a. i) Purchases from trading houses (₹)	0	0
	ii) Total purchases (₹)	97,00,00,00,000	1,05,00,00,00,000
	iii) Purchases from trading houses as % of total purchases	0%	0%
	b. Number of trading houses where purchases are made	0	0
	c. i) Purchases from top 10 trading houses (₹)	0	0
	ii) Total purchases from trading houses (₹)	0	0
	iii) Purchases from top 10 trading houses as % of total purchases from trading houses (₹)	0%	0%
Concentration of Sales	a. i) Sales to dealer / distributors (₹)	0	0
	ii) Total Sales (₹)	2,29,20,52,00,000	2,21,36,30,00,000
	iii) Sales to dealer / distributors as % of total sales	0%	0%
	b. Number of dealers / distributors to whom sales are made	0	0
	c. i) Sales to top 10 dealers / distributors (₹)	0	0
	ii) Total Sales to dealer / distributors (₹)	0	0
	iii) Sales to top 10 dealers / distributors as % of total sales to dealer / distributors	0%	0%
Share of RPTs in	a. i. Purchases (Purchases with related parties) (₹)	1,25,00,000	87,00,000
	ii. Total purchases (₹)	1,72,55,00,00,000	1,64,80,00,00,000
	iii. Purchases with related parties as % of Total purchases	0.01%	0.01%
	b. i. Sales (Sales to related parties) (₹)	3,15,83,00,000	2,50,87,00,000
	ii. Total sales (₹)	2,29,20,52,00,000	2,21,36,30,00,000
	iii. Sales to related parties as % of Total sales	1.38%	1.13%
	c. i. Loan & advances given to related parties (₹)	0	0
	ii. Total loans & advances (₹)	25,08,00,00,000	21,50,00,00,000
	iii. Loan & advances given to related parties as % of Total loans & advances	0%	0%
	d. i) Investments in related parties (₹)	0	0
	ii) Total Investments made (₹)	0	0
	iii) Investments in related parties as % of Total Investments made	0%	0%

Leadership Indicators

1. Awareness programmes conducted for value chain partners on any of the Principles during the financial year:

Total number of awareness programmes held	Topics / principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
43	- Awareness on Public Procurement Policy for Micro and Small Enterprises (MSEs) – Order for MSEs (issued by Ministry of MSME-Gol) - Online supplier registration portal - Government-e-Marketplace (GeM) - BHEL General Conditions of Contract - BHEL SAMVAAD with domestic industry to identify local sources and provide impetus for AtmaNirbhar Bharat	20%

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If Yes, provide details of the same.

Yes, the Company has a legal framework in place to avoid/ manage conflict of interests involving members of the Board.

The Directors submit a certificate to the Board stating that they do not have any conflict of interest with regard to the business of the Company on account of their concern/ interest and whenever any such conflict/ interest arises they shall promptly inform the same to the Board.

The Company's Board has approved a 'Code of Business Conduct & Ethics for all Board Members and Senior Management Personnel'. The Code encompasses (i) General Moral Imperatives (ii) Specific Professional Responsibilities and (iii) Specific Additional Provisions for Board Members and Senior Management Personnel. In addition, for the purpose of clearly defining the roles and responsibilities of the Board and individual Directors, and to enable the Board to effectively perform its role, the Board has laid down a Charter of the Board of Directors.

In addition to these processes, which are in place to avoid/ manage conflict of interests involving members of the Board, the Independent Directors on the Board are required to comply with certain additional provisions viz., submission of declaration of their independence (i.e. they meet the criteria of independence & that they are not aware of any circumstance or situation, which exist or may be reasonably anticipated, that could impair or impact their ability to discharge duties with an objective independent judgment & without any external influence) and compliance with Schedule IV of the Companies Act which inter alia provides for (i) Guidelines of professional conduct (ii) Role & functions and (iii) Duties for Independent Directors.

Principle 2: Product lifecycle sustainability

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

	FY 2023-24	FY 2022-23	Details
R&D	2.09%	3.59%	More than 50 developmental projects were taken up
Capex	5.57%	10%	Major expenditure reported as : Installation of Regenerative Burner based Combustion System in Reheat Furnaces, installation of 2x30 kWp Solar Photo Voltaic (SPV) Power Plant and establishment of Selective Catalytic Reduction (SCR) manufacturing facility

Refer Annexure- VI to Board Report and Annexure-VII to the Board Report

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

b. If yes, what percentage of inputs were sourced sustainably?

Yes, BHEL has implemented e-procurement/ GeM as business improvement and sustainable



business practice. Also supplier registration is done in online mode only. BHEL sources varied input material and component from several of its value chain partners which are certified and compliant with standards such as ISO 14001, ISO 45001 etc.

100% of our inputs are sourced sustainably.

3. **Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.**

BHEL products fall under capital goods category where product life goes beyond 25 years in majority of cases. The market requirement is for extension of the life of products or systems through process of refurbishments. After end of desired life of capital goods, they become unfit for reuse and hence being disposed as scrap by owner of the capital good products.

4. **Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.**

Extended Producer Responsibility (EPR) is not applicable to BHEL's activities.

Leadership Indicators

1. **Has the entity conducted Life Cycle Perspective / Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?**

No, company has not conducted Life Cycle Assessments for products.

2. **If there are any significant social or environmental concerns and/or risks arising from production or**

disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Not applicable

3. **Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).**

Company's manufacturing processes generate fair amount of metal scrap, however engineering measures are taken to minimize waste generation. The scrap subsequently undergoes recycling within the company and is reused. For example, Central Foundry Forge Plant (CFFP) in Haridwar manufactures Steel Forgings and Castings for which steel scrap is a major raw material. Reusable material is also used in packaging manufactured goods.

The value of such recycled/reused items is not being captured at the moment.

4. **Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:**

BHEL's business is B2B in nature and products/ systems we supply fall under capital goods category with long lifecycle (25 years and beyond). All the associated packaging material for supplies become the property of our customers that spread across the country and abroad. In this given situation, it is not feasible to reclaim the product (end of life) or packaging material from the customer.

5. **Reclaimed products and their packaging materials (as percentage of products sold) for each product category.**

As explained in point 4 (previous point).

Principle 3: Employees' well-being

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	% of employees covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent employees											
Male	26996	26996	100%	26996	100%	0	0%	26996	100%	0	0%
Female	1677	1677	100%	1677	100%	1677	100%	0	0%	1677	100%
Total	28673	28673	100%	28673	100%	1677	5.85%	26996	94.15%	1677	5.85%
Other than Permanent employees*											
Male	15764	15648	99.26%	15648	99.26%	0	0%	0	0%	0	0%
Female	1597	1596	99.94%	1596	99.94%	1596	99.94%	0	0%	258	16.16%
Total	17361	17244	99.33%	17244	99.33%	1596	9.19%	0	0%	258	1.49%

BHEL extends medical facility to its employees and their dependents. The facility is extended to its employees/ spouse on superannuation/ death as well. Day care facilities are also extended in several premises including BHEL's manufacturing plants.

*In 'other than permanent employees' category, BHEL extends reimbursement of premium on Medical Insurance/ Accident Insurance to Consultants/ FTA.

b. Details of measures for the well-being of workers:

Category	% of workers covered by										
	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B / A)	Number (C)	% (C / A)	Number (D)	% (D / A)	Number (E)	% (E / A)	Number (F)	% (F / A)
Permanent workers											
Male	13846	13846	100%	13846	100%	0	0%	13846	100%	0	0%
Female	361	361	100%	361	100%	361	100%	0	0%	361	100%
Total	14207	14207	100%	14207	100%	361	2.54%	13846	97.46%	361	2.54%
Other than Permanent workers											
Male	15648	15648	100%	15648	100%	0	0%	0	0%	0	0%
Female	1596	1596	100%	1596	100%	1596	100%	0	0%	258	16.17%
Total	17244	17244	100%	17244	100%	1596	9.26%	0	0%	258	1.50%

BHEL extends medical facility to its employees and their dependents. The facility is extended to its employees/ spouse on superannuation/ death as well. Day care facilities are also extended in several premises including BHEL's manufacturing plants. In case of 'other than permanent workers', insurance is inbuilt in the Works contract.

c. Spending on measures towards well-being of employees and workers (including permanent and other than permanent) in the following format:

	FY 2023-24	FY 2022-23
i) Cost incurred on wellbeing measures (well-being measures means well-being of employees and workers (including male, female, permanent and other than permanent employees and workers) (₹)	1,69,41,00,000	1,59,99,00,000
ii) Total revenue of the company (₹)	2,44,80,70,00,000	2,38,79,75,00,000
iii) Cost incurred on wellbeing measures as a % of total revenue of the company	0.69%	0.67%

2. Details of retirement benefits, for Current and Previous Financial Year.

Benefits	FY 2023-24			FY 2022-23		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI *	-	-	-	-	-	-
Others (BHEL Pension scheme)	100%	100%	NA	100%	100%	NA

As a retirement benefit apart from PF and Gratuity, all employees and workers are also covered under BHEL pension scheme.

* ESI is not applicable as BHEL extends medical facility scheme to all employees.

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, BHEL's premises and office are accessible to differently abled employees and workers. The structural modifications and other changes (in policies, etc.) are made in accordance to the requirements of the Rights of Persons with Disabilities Act, 2016.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

Yes, the company takes affirmative action in recruitment and promotion for representation of employees from socio-economically backward sections of society, minorities, disabled personnel and women as mandated by the Government of India. The company is an equal opportunity employer, and does not discriminate on the basis of gender, race, caste, religion, language, region, disability etc. in recruitment and employment relationship.

In case of an employee retires prematurely on medical grounds, provisions of The Rights of Persons with Disabilities Act, 2016 are kept in consideration. Additionally, Transfer and Job Rotation policy mandated for applicability of Government guidelines for the transfers of PwD employees.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

	Permanent employees		Permanent workers	
Gender	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100%	100%	100%	100%
Female	100%	100%	100%	100%
Total	100%	100%	100%	100%

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

There is a well laid out grievance redressal mechanism through two schemes – one for workers and other for staff & officers. A grievance for the purpose of the scheme means a grievance of individual employee arising out of the implementation of Company policies/rules or Management Decisions. Both these schemes provide for three-tier resolution. Defined timelines are laid down for resolution of grievance at each stage. Besides, an appellate mechanism is also provided under the scheme, in the case of grievance redressal scheme for staff & officers, and aggrieved employee can approach in case he/she is not satisfied with the resolution of the grievance. For 'other than permanent employees/ worker', the grievances are settled on case to case basis or through the contractors as the case may be.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes
Other than Permanent Workers	Yes
Permanent Employees	Yes
Other than Permanent Employees	Yes

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2023-24			FY 2022-23		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) Or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D / C)
Total Permanent Employees	28673	28673	100.00%	29536	29536	100.00%
- Male	26996	26996	100.00%	27790	27790	100.00%
- Female	1677	1677	100.00%	1746	1746	100.00%
Total Permanent Workers	14207	14207	100.00%	14986	14986	100.00%
- Male	13846	13846	100.00%	14592	14592	100.00%
- Female	361	361	100.00%	394	394	100.00%

BHEL has 29 participative trade unions represented in the apex level bipartite body, namely the Joint Committee for discussing workers' and Company's interest related issues, based on the principle of participative management.

All three categories of employees viz. executives, supervisors and workers are represented by their respective associations/ trade unions. However, since there is no check-off facility to ascertain the exact membership of executive/ supervisor associations and workers' unions, a firm number is not available.

8. Details of training given to employees and workers:

Category	FY 2023-24					FY 2022-23				
	Total (A)	On Health and safety measures		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F / D)
Employees										
Male	26996	3733	13.8%	11466	42.5%	27790	3869	13.9%	12182	43.8%
Female	1677	405	24.2%	1118	66.7%	1746	452	25.9%	1029	58.9%
Total	28673	4138	14.4%	12584	43.9%	29536	4321	14.6%	13211	44.7%
Workers										
Male	13846	1289	9.3%	3842	27.7%	14592	1462	10.0%	4031	27.6%
Female	361	96	26.6%	181	50.1%	394	128	32.5%	168	42.6%
Total	14207	1385	9.7%	4023	28.3%	14986	1590	10.6%	4199	28.0%

9. Details of performance and career development reviews of employees and worker:

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	26996	26996	100%	27790	27790	100%
Female	1677	1677	100%	1746	1746	100%
Total	28673	28673	100%	29536	29536	100%
Workers						
Male	13846	13846	100%	14592	14592	100%
Female	361	361	100%	394	394	100%
Total	14207	14207	100%	14986	14986	100%

10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes, Occupational Health and Safety Management System (OHSMS) is implemented across the company. Each and every employee of the company is covered under the OHSMS and the system is applicable at all the work places.

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Company has robust systems & processes to identify the work-related hazards and assess risks on routine and non-routine basis. Some of them are mentioned below:

HIRA (Hazard Identification and Risk Assessment) – HIRA is implemented at all work places. This involves identification of hazards and attached risk for each and every process & activity in a comprehensive manner at every department level with the participation of all employees.

JSA (Job Safety Analysis) – It is essential that maintenance jobs and other repetitive jobs having accident potentials are analysed for hazards and adequate safety measures are laid down. This is done at the stage of planning for job / process. Procedures are being established to conduct JSA at work place. During Job safety Analysis, the procedure is to select the job based on frequent accidents, severity of injury and new job in which the accident potential is unknown, then divide the job into successive steps, then identifying the hazards at each step and develop ways to eliminate the hazards and prevent the accident potentials

Method Statement – It outlines the safe way of performing a specific job or accomplishing a project and ensure that necessary precautions or control measures are communicated to those involved. A method statement provides evidence that significant health & safety risks have been identified and there are safety systems in place.

c. Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Yes, processes and procedures are in place for workers to report work related hazards and to remove themselves from such risks. Workers are made aware to identify the unsafe acts / unsafe conditions during the structured training programs organized on periodical basis at work places. The same can be reported through offline / online modes available at their respective work premises. Further, procedures are established to mitigate the reported cases in the system.

App based system 'HSE Observer' has been implemented for registration of work-related hazards/ unsafe acts / unsafe conditions at project sites. User can submit HSE violations/ issues, incidents/ near misses and good practices through the application. Any employee can register an HSE issue through the App and the role of Safety Officials is to report and highlight the issues. Also, for critical issues, work has to be stopped followed by reporting and resolution. Safety team is expected to highlight the issue in safety reviews and follow up for closure.

d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes, employees and workers have access to non-occupational medical and healthcare services, offered through company operated health care facilities as well as external healthcare facilities which are compensated suitably as per the company policy. BHEL has ensured the availability of suitable medical facilities even at the remote work places.

11. Details of safety related incidents, in the following format:

Safety Incident/Number	Category	FY 2023-24	FY 2022-23
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0.444	0.475
Total recordable work-related injuries	Employees	0	0
	Workers	43	47
No. of fatalities	Employees	0	0
	Workers	2	2
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	41	45

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

BHEL believes that the employees and people associated with other partner entities are important stakeholders and thus their health, safety and well-being becomes critical for business success. Company has been continuously working to reinforce systems, policies and procedures to achieve "Zero Harm" to the work force. Also, BHEL has been making every effort to strengthen the safety culture in the organization.

At BHEL, special initiatives are being taken to inculcate the safety values in the work force at all levels through structured training programs, safety reviews, work to permit system, HIRA & JSA, mega tool box talk, internal & external audits, etc. Awareness and sensitization are increased enormously by the help of HSE campaigns i.e. BHEL Safety Fortnight-2024 (March 4–17, 2024), Special Campaign 3.0 (October 2–31 2023), Swachhata Pakhwada-2023 (August 16–31, 2023), BHEL

Environment Awareness Month-2023 (June 5–4, 2023). Inter-unit competitions were organized in these campaigns to raise participation level of senior management.

The efforts taken by the company elucidate the intention towards providing safe and healthy environment for the human resource working for and with BHEL.

13. Number of Complaints on the following made by employees and workers:

Benefits	FY 2023-24			FY 2022-23		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	0	0	-	0	0	-
Health & Safety	0	0	-	0	0	-

Systems are in place at respective premises of BHEL for registration of unsafe conditions related to safety. The same is addressed promptly by concerned departments, and it is a continuous ongoing process.

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health and safety practices	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Systems & Procedures are in place to conduct the regular safety inspections and safety internal & external audits at regular frequency. Corrective actions are being taken for all the observations given by the auditors (internal as well as external).

Also, Root Cause Analysis (RCA) are being conducted for all the safety-related incidences, and suitable corrective actions are being taken for the same. This is a continuous process / activity at BHEL.

Leadership Indicators

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N).

Yes, BHEL extends life insurance or compensatory package to employees and workers in the event of death.

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

BHEL's value chain partners come under PF act and ESI act, which makes them liable to deposit statutory dues. Service contract between BHEL and service provider contains clause on 'payment terms' for necessary statutory payment like PF, ESI etc.

3. Provide the number of employees / workers having suffered high consequence work related injury / ill-health / fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:

Nil. There are no eligible cases in respect of employees and workers, affected by high consequence work related injury/ ill-health/ fatalities during FY 2023-24 and FY 2022-23.

	Total no. of affected employees/ workers		No. of employees/ workers that are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment	
	FY 2023-24	FY 2022-23	FY 2023-24	FY 2022-23
Employees	0	0	0	0
Workers	43	47	0	0

4. Does the entity provide transition assistance programs to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/ No)

Yes, BHEL provides transition assistance to facilitate continued employability and the management of career endings resulting from retirement or termination.

5. Details on assessment of value chain partners:

All of the BHEL's value chain partners comes under relevant labour laws and acts. Because of which both central and state labour department conduct periodic inspections in related to Health and Safety practices and working conditions at the premise of value chain partners. Any gaps identified are suitably addressed by the partners.

	% of value chain partners (by value of business done with such partners) that were assessed
Health and safety practices	100%
Working Conditions	100%

6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.

Refer point 5 (previous point).

Principle 4: Stakeholder engagement

Essential Indicators

1. Describe the processes for identifying key stakeholder groups of the entity.

Stakeholders which directly or indirectly impact BHEL's revenue earning capability, its ability to share benefits are identified as key stakeholders. As an example, suppliers or value chain partners are stakeholders w.r.t procurement and they are identified against registration process and also through pre-qualification requirements in open tenders.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community, Meetings, Notice Board, Website), Others	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Shareholders	No	Email, Newspaper Advertisement, Disclosure available on Stock Exchanges & BHEL Website	Engagement is done on Quarterly, Half yearly & Annual basis as well as whenever the event occurs	All material events affecting the Company as well as disclosures required under SEBI (Listing Obligations & Disclosure Requirements) Regulations, 2015
Suppliers	No	Email, Advertisement, Vendor meets, website etc.	Regular	To make suppliers aware of: - Public Procurement Policy (Preference to Make in India) - Import substitution - Participating in tenders issued on GeM portal - Lodging and tracking grievances on BHEL's grievance redressal portal, SUVIDHA - BHEL's quality objectives

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community, Meetings, Notice Board, Website), Others	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Employees	No	Email, Monthly Newsletter, Notice Boards, Intranet Websites, Shop Floor, Shop Council, Plant Council and Joint Council Meetings	Monthly	Sharing monthly progress of the company and the business verticals, targets, achievements and department/section level concerns etc
Customers	No	Email, Advertisement, telephone calls, meetings, website etc	Regular	Assessment of customer needs, their requirement vis-à-vis existing capital good assets, complaints resolution, business enquiries etc
Communities	Yes	Meetings, local NGOs	Case-to-case basis	Assessing their problems that lead to their vulnerability and which hold back in attaining better standard of living

Leadership Indicators

1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.

The most important forum for the shareholders of BHEL to have access to the Board of Directors is the Annual General Meeting of the Company. During these meetings, shareholders raise various queries regarding the performance, strategies and outlook of the Company, share their grievances as well provide valuable feedback regarding improvements in the Company performance, not only from a business perspective but also on critical economic, environmental and social topics/ areas.

BHEL value chain partners have access to Independent External Monitors (IEMs), who are nominated by CVC for consultation. They also can share their issues with Vigilance function of company during vendor meets etc. Business Associates meet are held for interactions with top management of BHEL, wherein the feedback received is addressed. Further, the Board is briefed on issues requiring their attention.

2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances

as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.

Yes. Stakeholders have provided their support to various environmental & social endeavors of BHEL viz., indigenization of various items under “Aatmanirbhar Bharat”, utilization of solar energy & water harvesting capacity in BHEL’s factories & project sites, empowerment of woman employees etc. Supplier feedback received during interactions are taken care like benefits of MSEs through waiver of EMD, purchase preference, PQR relaxation etc.

3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/ marginalized stakeholder groups.

For underprivileged section of the community, BHEL spend on CSR projects after baseline survey is conducted by local NGOs. These local NGOs during their baseline surveys engage with communities and understand their needs and problems.

As part of engagement with vulnerable and marginalized stakeholders, BHEL has conducted 43 supplier meets including Micro & Small Enterprises, during the FY 2023-24.

Principle 5: Human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Category	FY 2023-24			FY 2022-23		
	Total (A)	No. of employees / workers covered (B)	% (B / A)	Total (C)	No. of employees workers covered (D)	% (D / C)
Employees						
Permanent	28673	5187	18.09%	29536	3332	11.28%
Other than permanent	17361	570	3.28%	15638	534	3.41%
Total Employees	46034	5757	12.51%	45174	3866	8.56%
Workers						
Permanent	14207	2036	14.33%	14986	1083	7.23%
Other than permanent	17244	570	3.31%	15638	534	3.41%
Total Workers	31451	2606	8.29%	30624	1617	5.28%

Note: For company policy related program, only HR policy related are considered here

2. Details of minimum wages paid to employees and workers, in the following format:

Category Total (A)	FY 2023-24					FY 2022-23				
	Total	Equal to Minimum Wage		More than Minimum Wage		Total	Equal to Minimum Wage		More than Minimum Wage	
	No. (A)	No. (B)	% (B / A)	No. (C)	% (C / A)	Nos. (D)	No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Permanent	28673	0	0%	28673	100%	29536	0	0%	29536	100%
Male	26996	0	0%	26996	100%	27790	0	0%	27790	100%
Female	1677	0	0%	1677	100%	1746	0	0%	1746	100%
Other than Permanent	17361	7477	43.07%	9884	56.93%	15705	6225	39.64%	9480	60.36%
Male	15764	6862	43.53%	8902	56.47%	14495	5778	39.86%	8717	60.14%
Female	1597	615	38.51%	982	61.49%	1210	447	36.94%	763	63.06%
Workers										
Permanent	14207	0	0%	14207	100%	14986	0	0%	14986	100%
Male	13846	0	0%	13846	100%	14592	0	0%	14592	100%
Female	361	0	0%	361	100%	394	0	0%	394	100%
Other than Permanent	17244	7477	43.36%	9767	56.64%	15639	6225	39.80%	9414	60.20%
Male	15648	6862	43.85%	8786	56.15%	14430	5778	40.04%	8652	59.96%
Female	1596	615	38.53%	981	61.47%	1209	447	36.97%	762	63.03%

3. Details of remuneration/salary/wages

a. Median remuneration/ wages

Salary/ wage structure of BHEL employee and workers are set as per the guidelines of DPE.

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)*^	4	₹ 56,00,000	1	₹ 86,00,000
Key Managerial Personnel^	1	₹ 49,00,000	0	0
Employees other than BoD and KMP^	26991	₹ 12,00,000	1676	₹ 18,00,000
Workers^	13846	₹ 10,00,000	361	₹ 11,00,000

*Independent Directors are not considered. Total sitting fees paid to Independent Directors was ₹ 20,40,000 in FY 2023-24. Median sitting fees paid to Independent Director was ₹ 7,20,000 in FY 2023-24.

^Payments are excluding PP/SIP/PRP (performance linked payments) and reimbursements. Data pertains to employees on rolls as on 31 March 2024.

b. Gross wages paid to females are % of total wages paid by the entity, in the following format

	FY 2023-24	FY 2022-23
Gross wages paid to females (₹)	3,96,46,00,000	3,87,61,00,000
Total wages (₹)	56,40,17,00,000	53,19,44,00,000
Gross wages paid to females as % of total wages	7.03%	7.29%

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes. Grievance Redressal officers are there in each BHEL premise for addressing human rights issues.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

There is a formal well laid out grievance redressal mechanism related to human rights issues. The mechanism provides for three-tier resolution. First stage with Controlling Officer, second stage with Head of the Department, third stage with Grievance Redressal Committee.

6. Number of Complaints on the following made by employees and workers:

	FY 2023-24		FY 2022-23	
	Filed during the year	Pending resolution at the end of year	Filed during the year	Pending resolution at the end of year
Sexual Harassment	3	1	0	0
Discrimination at workplace	0	0	0	0
Child Labour	0	0	0	0
Forced Labour/Involuntary Labour	0	0	0	0
Wages	0	0	0	0
Other human rights related issues	0	0	0	0

7. Complaints filed under the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013, in the following format:

	FY 2023-24	FY 2022-23
i) Total complaints reported under Sexual Harassment on of Women at Workplace (Prevention, Prohibition and Redressal), Act, 2013 (POSH)	3	0
ii) Female employees / workers	1677	1746
iii) Complaints on POSH as a % of female employees/ workers	0.18%	0
iv) Complaints on POSH upheld	2	0

8. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

As a preventive step, identity of complainant is known only to Internal Complaints Committee, and is protected. All meetings in the Enquiry (Complainant and Respondent) are never done face to face.

9. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

Yes, human rights requirement forms a part of business agreement or contract. The service contracts between BHEL and service provider contain a clause, meeting human rights requirement like child labour, minimum wages etc.

10. Assessments for the year:

All BHEL premises are periodically inspected by central and state labour departments, PF and ESI departments and other Government institutions or department for the compliance related to relevant law/ act/ statute and identifying gaps.

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	100%
Forced Labour/Involuntary Labour	100%
Sexual Harassment	100%
Discrimination at workplace	100%
Wages	100%

11. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 10 above.

No significant risk/ concern was identified.

Leadership Indicators

1. Details of a business process being modified / introduced as a result of addressing human rights grievances/ complaints.

Upholding of Human Rights is central to the company's value system, and it strives to support, protect and promote human rights to ensure that fair and ethical business and employment practices are followed. The Company is committed to provide a safe inclusive environment for one and all, irrespective of the caste, colour, religion, gender, divyangjan etc. The same is ensured in company's policies, procedures and practices.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

Plants and offices are assessed periodically during the preventive/ statutory audit for ensuring compliance with all the Statutory laws/Regulatory requirement, and the rules made thereunder. The company also conducts training programmes/ sensitization sessions for its employees and trainees including apprentices on the subject.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes. Refer Principle 3, Essential Indicator, Point 3.

4. Details on assessment of value chain partners:

Value chain partners of BHEL are assessed on Human Rights criteria by virtue of them coming under labor related laws/ acts/ statutes and these are assessed or inspected by relevant Govt department/ institution.

	% of value chain partners (by value of business done with such partners) that were assessed
Sexual Harassment	100%
Discrimination at workplace	100%
Child Labour	100%
Forced Labour/ Involuntary Labour	100%
Wages	100%

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not applicable

Principle 6: Environment

Essential Indicators

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY 2023-24	FY 2022-23
From renewable sources		
Total electricity consumption (A) (in Giga Joules)	115816.82	107216.00
Total fuel consumption (B) (in Giga Joules)	0	0
Energy consumption through other sources (C) (in Giga Joules)	0	0
Total energy consumed from renewable sources (A+B+C) (in Giga Joules)	115816.82	107216.00
From non-renewable sources		
Total electricity consumption (D) (in Giga Joules)	879106.76	893815.00
Total fuel consumption (E) (in Giga Joules)	1642736.83	1758770.00
Energy consumption through other sources (F) (in Giga Joules)	0	0
Total energy consumed from non-renewable sources (D+E+F) (in Giga Joules)	2521843.59	2652585.00
Total energy consumed (A+B+C+D+E+F)	2637660.41	2759801.00
Energy intensity per rupee of turnover (in kilo Joule per ₹ of turnover) (Total energy consumed/ Revenue from operations)	11.04	11.55
Energy intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (in kilo Joule per \$ of turnover adjusted for PPP) (Total energy consumed/ Revenue from operations adjusted for PPP)	252.61	264.30
Energy intensity in terms of physical output	-	-
Energy intensity (optional) – the relevant metric may be selected by the entity	-	-

Note: Indicate if any independent assessment/ evaluation/ assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

PPP rates of currency conversion is taken from OECD Data website.

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

None of the BHEL facilities has been identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme.

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY 2023-24	FY 2022-23
Water withdrawal by source (in kilolitres)		
(i) Surface water	0	0
(ii) Groundwater	4584022	5407690
(iii) Third party water	13772049	12961712
(iv) Seawater / desalinated water	0	0
(v) Others	0	0
Total volume of water withdrawal (in kilolitres) (i + ii + iii + iv + v)	18356071	18369402
Total volume of water consumption (in kilolitres)	18356071	18369402
Water intensity per rupee of turnover (Total water consumption/ Revenue from operations – Litre per ₹)	0.077	0.079
Water intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total water consumption/ Revenue from operations adjusted for PPP – Litre per \$ of turnover adjusted for PPP)	1.758	1.799

Parameter	FY 2023-24	FY 2022-23
Water intensity (optional) – the relevant metric may be selected by the entity	--	--

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

4. Provide the following details related to water discharged

Parameter	FY 2022-23	FY 2021-22
Water discharge by destination and level of treatment (in kilolitres)		
(i) To Surface water		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(ii) To Groundwater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iii) To Seawater		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Sent to third-parties		
- No treatment	-	-
- With treatment – please specify level of treatment	-	-
(iv) Others		
- No treatment	-	-
- With treatment – please specify level of treatment	142621	106680
Total water discharged (in kilolitres)	142621	106680

There are number of Sewage Treatment Plants (STPs), Effluent Treatment Plants (ETPs) and Oxidation Ponds established at our units which gives the desired level of treatment to our sewage/trade effluent generated. At most of the places, it is used inside the premises and not let out. However, at some of our premises, the treated effluent is discharged to municipal sewer, nallah, stream etc. after meeting the discharge norms.

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

5. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes. As a responsible corporate citizen, BHEL has set up 19 Sewage Treatment Plants & 20 Effluent treatment Plants to ensure that the water, which is discharged from our premises, conform to the effluent standards as per the statutory requirement and its quantity is minimized to the extent feasible. In this regard, 11 numbers of our manufacturing units are not letting out any effluent outside their premises. Treated effluent/ sewage is used for horticulture inside the plant to maintain the green area inside our campuses.

6. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Unit	2023-24	2022-23
NOx	Metric Tonne	105.06	136.59
SOx	Metric Tonne	103.38	164.28
Particulate Matters (PM)	Metric Tonne	203.8	344
Persistent organic pollutants (POC)	Metric Tonne	-	-
Volatile organic compounds (VOC)	Metric Tonne	2.45	5.17
Hazardous air pollutants (HAP)	Metric Tonne	7.35	9.4
Others – Carbon Monoxide	Metric Tonne	18.53	0.02

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

7. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	2023-24	2022-23
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	111681.13	115744.00
Total Scope 2 emissions* (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	174844.57	176528.46

Total Scope 1 and Scope 2 emissions per rupee of turnover (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations)	Gram of CO ₂ emitted per ` of turnover achieved	1.199	1.25
Total Scope 1 and Scope 2 emission intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total Scope 1 and Scope 2 GHG emissions / Revenue from operations adjusted for PPP)	Gram of CO ₂ emitted per \$ of turnover achieved adjusted to PPP	27.44	28.62
Total Scope 1 and Scope 2 emission intensity in terms of physical output		-	-
Total Scope 1 and Scope 2 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

PPP rates of currency conversion is taken from OECD Data website.

* In Scope 2 emission calculation, earlier project level emission methodology was being used which has been changed to corporate level emission resulting in restatement of Scope-2 emission

8. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Yes. BHEL has set up nearly 35 MWp of capacity of Solar Power plants including rooftop ones which has helped the organization in reducing its GHG Emissions. This large-scale solarisation has helped us in carbon footprint avoidance to the tune of 23,033 MTCO₂-equivalent during FY 2023-24.

Furthermore, conventional burners of reheat furnaces are replaced with regenerative based combustion system at CFFP Haridwar. This has been implemented in 6 numbers of reheat furnaces with a potential of annual savings of 30% in fuel consumption (~ 27.60 lakhs m³)

Energy conservation/ efficiency related projects are regular feature in our units which helps us in demand side management of energy and consequently reducing the associated carbon emission which would have occurred otherwise at enhanced level

Refer Annexure – IV to the Board's Report, 4.1.2 Energy Management

Refer Annexure – IV to the Board's Report, 4.1.4 Carbon Management

Refer Annexure – VII to the Board's Report, 7.1 Conservation of Energy

9. Provide details related to waste management by the entity, in the following format:

Parameter	FY 2023-24	FY 2022-23
Total Waste generated (in metric tonnes)		
Plastic waste (A)*	91.29	68.98
E-waste (B)	36.36	42.17
Bio-medical waste (C)	16.34	6.51
Construction and demolition waste (D)	157.20	0
Battery waste (E)	77.59	88.10
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	1187.71	1278.90
Other Non-hazardous waste generated (H). Please specify, if any. (Break-up by composition i.e. by materials relevant to the sector)	51011.95	45944.15
Total (A+B + C + D + E + F + G + H)	52578.44	47428.81
Waste intensity per rupee of turnover (Total waste generated / Revenue from operations) – Gram per ₹	0.22	0.20
Waste intensity per rupee of turnover adjusted for Purchasing Power Parity (PPP) (Total waste generated / Revenue from operations adjusted for PPP) – Gram per \$ in PPP	5.034	4.645
Waste intensity in terms of physical output	-	-

Waste intensity (optional) – the relevant metric may be selected by the entity	-	-
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	311.98	94.06
(ii) Re-used	465.83	669.37
(iii) Other recovery operations	0	0
Total	777.81	763.43
For each category of waste generated, total waste disposed by nature of disposal method (in metric tonnes)		
(i) Incineration	10.72	6.92
(ii) Landfilling	157.26	1359.29
(iii) Other disposal operations	38773.65	27615.08
Total	38941.63	28981.29

*Quantity of plastic waste disposed during the year to authorized agency.

In table above, 'other disposal operations' include the data for sale of the scrap through e-auction/ other means to external agencies for recycle/reuse/recovery as well. After considerable amount of scrap is accumulated, it is sold to the agency for final disposal

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

PPP rates of currency conversion is taken from OECD Data website.

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible Material & Natural Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water and Biodiversity Management

Refer Annexure – IV to the Board's Report, 4.1.5 Waste Management

10. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

In our manufacturing activity, reduction of waste generation is taken as a very important activity, and our nesting plan for cutting of metal sheet is prepared accordingly. However, once the scrap is generated, it is

either used in the local foundry shop for making castings/ forgings or sent to authorized recycler for melting into the furnace for avoidance of new raw material consumption.

Across BHEL, solid wastes/ scrap having resale value were collected, segregated, stored and sold to authorized recyclers. Some of it, not having any resale value, is used for filling up low lying areas. Hazardous wastes/ e-waste are disposed of as per the stipulations in the relevant statutes.

The hazardous waste generated at units are disposed as per the regulatory requirement and necessary records for scrutiny of authority is duly maintained. Hazardous waste, which can be used outside, is sent to authorized recyclers. Rest of the hazardous waste, which is to be incinerated or buried in secured landfill, is sent to Treatment Storage and Disposal Facility (TSDF) of their respective states for ultimate disposal of such hazardous wastes.

Refer Annexure – IV to the Board's Report, 4.1.1 Responsible Material & Natural Consumption

Refer Annexure – IV to the Board's Report, 4.1.3 Water and Biodiversity Management

Refer Annexure – IV to the Board's Report, 4.1.5 Waste Management

11. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not applicable

12. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not applicable

13. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes, BHEL is compliant with the applicable environmental law/ regulations/ guidelines in India.

Leadership Indicators

1. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres) :

For each facility / plant located in areas of water stress, provide the following information:

- i Name of the area: NIL
- ii Nature of operations: NIL
- iii Water withdrawal, consumption and discharge – Not Applicable

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED.

2. Please provide details of total Scope 3 emissions & its intensity, in the following format:

Parameter	Unit	FY 2023-24	FY 2022-23
Total Scope 3 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	-	-
Total Scope 3 emissions per rupee of turnover		-	-
Total Scope 3 emission intensity (optional) – the relevant metric may be selected by the entity		-	-

Data pertaining to Scope 3 emissions not being quantified at

the moment. However, in following ways company is making efforts to reduce Scope 3 emissions

- i At many energy intensive units, we have switched over from LPG to RLNG which is being supplied through the pipeline and thereby avoiding scope-3 emissions associated with carriage of the fuel through roadways to that extent
- ii Employees are encouraged to pool their cars for commute to save energy and avoid Scope-3 emissions

Yes, assessment/ evaluation/ assurance has been carried out by BUREAU VERITAS (INDIA) PRIVATE LIMITED

3. With respect to the ecologically sensitive areas reported at Question 11 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.

Not applicable

4. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions / effluent discharge / waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
1.	Upgradation from conventional to regenerative burners-based combustion system at CFFP Haridwar	Implemented on 6 Nos of reheat furnaces	Potential annual savings of 30% in fuel consumption (Approx. 27.60 lakhs m ³)
2.	Centralised monitoring of manufacturing facilities through inhouse developed Industrial Internet of Things platform	Implemented on more than 100 machines / plants	Potential Power Savings: upto 4% Predictive Maintenance: Breakdown time reduction upto 10%.

Sr. No	Initiative undertaken	Details of the initiative (Web-link, if any, may be provided along-with summary)	Outcome of the initiative
3.	Zero Liquid Discharge	For prevention of water pollution and sustainable management of wastewater the company has established 20 Effluent Treatment Plants (ETPs) and 19 Sewage Treatment Plants (STPs). Through these ETPs/ STPs effluent is treated and reused inside our premises for process, toilet flushing, gardening etc. This has resulted in making our 11 units as Zero Liquid Discharge entities.	Due to non-discharge of effluent outside the premises, company has avoided land and water pollution
4.	Single use plastic free townships (SUPF Townships)	BHEL townships has been declared as single use plastic free through 3 rd Party Audit. Internal Audits and annual Audit of the status of SUPF is being carried out in all townships religiously making the residents aware about plastic menace	BHEL Townships has been developed as sustainable habitats and citizens have developed a habit of avoiding single use plastic resulting in avoidance of land & water pollution on account of plastic waste.
5.	Pledge for conservation of existing verdant cover and augmenting it further	During 2023-24, BHEL became a part of World Economic Forum's (WEF's) one trillion trees initiative by taking a pledge on 1t.org. It is a World Economic Forum's (WEF's) initiative aiming to empower the reforestation community and ensure the conservation and restoration of one trillion trees. BHEL has taken a pledge to conserve 3 million existing trees in its campuses and augment the same further by planting more saplings. Company has created 3 Miyawaki forests at manufacturing units in this regard.	The initiative has led to development of nice verdant cover in BHEL premises. As a consequence, lower temperature is observed in BHEL premises as compared to surroundings and increased biodiversity.

As a responsible global citizen, the organization acknowledges the relation between Green House Gas (GHG) emissions and climate change. To address this global challenge, BHEL has been putting efforts in reducing carbon footprint of its products and services, thereby enabling the customers to generate power in a sustainable manner, with reduced environmental footprints over the life cycle of the plant. In internal operations also, the organization is putting a major thrust on energy efficiency and use of renewable energy sources. The company has established a total of 35 MWp of Solar Photo Voltaic (ground mounted and roof-top) plants at various BHEL locations which have helped the company in making its energy mix more sustainable. Company's inventory of renewable application also includes solar water heaters, solar street lighting etc. The Company has also taken a number of projects related to water and energy conservation, tree plantation, waste management, resource conservation, etc.

Refer Annexure – IV to the Board's Report, Sustainability Performance – Environmental

Refer Annexure – VII to the Board's Report, Conservation of Energy

5. Does the entity have a business continuity and disaster management plan? Give details in 100 words/ web link.

Yes, BHEL has a business continuity and disaster management plan. Same was acted upon during COVID-19 outbreak. Business continuity plan and/ or disaster management plan were not published on internet.

6. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.

No significant impact came to notice.

7. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

100% of value chain partners were assessed for environmental impact by virtue of them coming under environment related laws/ acts/ statutes and these are assessed or inspected by relevant Govt department/ institution. BHEL's contract document with the value chain partner, contain practices to be followed with respect to Environment, and BHEL takes undertaking from them in this regard. However, BHEL is yet to adopt the practice of directly assessing value chain partner for environmental impacts.

Principle 7: Policy advocacy

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

Ten (10) affiliations.

b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1	CIGRE India	International
2	Indian Electrical and Electronics Manufacturers' Association (IEEMA)	National
3	Confederation of Indian Industry (CII)	National
4	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
5	Standing Conference of Public Enterprises (SCOPE)	National
6	Engineering Export Promotion Council of India (EEPC)	National
7	Project Exports Promotion Council of India (PEPC)	National
8	PHD Chamber of Commerce and Industry	National
9	Central Board of Irrigation & Power (CBIP)	National
10	Associated Chambers of Commerce and Industry of India (ASSOCHAM)	National

2. Provide details of corrective action taken or underway on any issues related to anticompetitive conduct by the entity, based on adverse orders from regulatory authorities.

No instance of anti-competitive conduct by BHEL has been raised

Leadership Indicators

1. Details of public policy positions advocated by the entity:

S. No.	Public policy advocated	Method resorted for such advocacy	Whether information available in public domain? (Yes/No)	Frequency of Review by Board (Annually/ Half yearly/ Quarterly/ Others – please specify)	Web Link, if available
1.	'BHEL SAMVAAD 3.0 - Dialogue with Success Partners of BHEL for promoting 'AatmaNirbhar Bharat' and Capacity Building in the Country (अनुसन्धान से आत्मनिर्भरता की ओर, BHEL की एक और पहल')	BHEL under the guidance of MHI conducted the event on 9 Nov 2023 at Bharat Mandapam, New Delhi.	Yes	-	-
2.	Manthan - “मंथन - लोकल से ग्लोबल : भारत-विनिर्माण से आत्मनिर्भरता” organized by Ministry of Heavy Industries, Gol	Industry association presented challenges/ growth on behalf of industry players during event on 22 Nov 2023 at Yashobhoomi, New Delhi.	Yes	-	-
3.	Participation in various activities/ inputs to boost Capital Goods Sector, Public Sector Enterprise Council etc.	Through interaction with Industrial Bodies (CII, FICCI), Government Ministries viz. MHI, MoP, etc.	No	-	-
4.	Facilitation of international trade and collaboration	Through inputs to Industry Bodies/ Government agencies for FTAs, etc.	No	-	-
5.	Inputs on matters such as Customs, Export promotion & Export incentives	Pre-budget memorandum for Budget 2024-25	No	-	-

Principle 8: Inclusive growth

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable

3. Describe the mechanisms to receive and redress grievances of the community.

Community raises their grievances, through Centralised Public Grievance Redress and Monitoring System (CPGRAMS)/ Public Grievance Portal, which are then assigned to Public Grievance Officer in BHEL.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2023-24	FY 2022-23
Directly sourced from MSMEs/ small producers	32.18%	32.55%
Sourced directly from within the district and neighbouring districts	10%	10%

5. Job creation in smaller towns – Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent/ on contract basis) in the following locations, as % of total wage cost

Location	FY 2023-24	FY 2022-23
Rural		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	3297773379	3060520693
ii) Total Wage Cost	56401700000.00	53194400000.00
iii) % of Job creation in Rural areas	5.85%	5.75%
Semi-urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	13713313292	12734123081
ii) Total Wage Cost	56401700000.00	53194400000.00
iii) % of Job creation in Semi-urban areas	24.31%	23.94%
Urban		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	14102494878	13238100930
ii) Total Wage Cost	56401700000.00	53194400000.00
iii) % of Job creation in Urban areas	25.00%	24.89%
Metropolitan		
i) Disclose wages paid to persons employed (including employees or workers employed on a permanent or non-permanent / on contract basis)	24435039231	23274957187
ii) Total Wage Cost	56401700000.00	53194400000.00
iii) % of Job creation in Metropolitan areas	43.32%	43.75%

Leadership Indicators

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by Government bodies:

Amount spent on CSR projects in designated aspirational districts during FY 2023-24 are

S. No.	State	Aspirational District	Amount Spent (in ₹ Lakh)
1	Uttar Pradesh	Chandauli, Varanasi	1,00,07,037
2	Odisha	Kandhamal	52,58,790
3	Pan India (other than mentioned above)	Pan India (other than mentioned above)	15,64,000

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalized / vulnerable groups? (Yes/No)

Yes

- (b) From which marginalized / vulnerable groups do you procure?

Company has been supporting Micro and Small Enterprises

(MSEs) as they tend to employ a larger share of the vulnerable sectors of the workforce, such as women, youth, and people from poorer households. Regular Vendor Meets and Supplier development programs are being organized by BHEL units, specifically for MSEs (including local suppliers) as well as specific to SC/STs, which serve as a platform for identification of needs and formulation of action plan for mutual benefits. Further, preferences as mandated in the Public Procurement Policy for Micro and Small Enterprises (MSEs) Order for MSEs (issued by Ministry of MSME-Gol), are followed.

Further, BHEL complied with the provisions of DPE relating to TReDs and cleared 100% Invoices of Goods & Services through TReDS Portal within specified timeline.

- (c) What percentage of total procurement (by value) does it constitute?

BHEL procured 32.18% of its procurement from MSMEs in FY 2023-24.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year) based on traditional knowledge:

Company does not own or acquired Intellectual Property based on traditional knowledge. However, company has invested in Research & Development of products/ technologies and acquired Intellectual Properties based on knowledge derived through scientific evidences.

Refer Annexure –VI to the Board's Report of Annual Report, Research & Development and Technological achievements

5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes where in usage of traditional knowledge is involved.

No Intellectual Property dispute regarding usage of traditional knowledge during FY 2023-24 as BHEL does not own or acquired Intellectual Property based on traditional knowledge.

6. Details of beneficiaries of CSR Projects:

S. No.	CSR Project	No. of persons benefitted from CSR Projects	% of beneficiaries from vulnerable and marginalized groups
1	Financial support to Sulabh International, Lucknow for construction, operation and maintenance of Sulabh Toilet Complex at 11 Places in Varanasi and Chandauli	190000	100%
2	Financial support to the "Professional Assistance for Development Action (PRADAN), NOIDA" for the project: Motivating AgRarian communities of Kandhamal (Odisha) for their Economic Transformation	9070	100%

Principle 9: Customer value

Essential Indicator

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

Customer value is prominent part of BHEL's culture and is reflected in our Vision, Mission and Values statement. The company constantly focusses to create value for customers through products and services.

Complaints of customers are received through various channels like letters, emails, phone calls and during meetings. The complaints are subsequently escalated for resolution.

All major quality issues reported are being taken up for Root Cause Analysis (RCA) and are being resolved through RCA committees. Apart from complaints, customer feedback is taken through customer satisfaction surveys, customers' meets, face-to-face interactions, video-conferencing and appreciation letters.

2. Turnover of Products and/services as a percentage of turnover from all products/services that carry information about "Environmental & social parameters relevant to the product", "Safe and responsible usage" and "Recycling and/or safe disposal".

BHEL products are capital goods and hence have long operating life of 25 years. The products/ systems are offered to customers with manuals covering safety, operating in environmental friendly manner etc. The same aspects are covered in training of customer personnel by BHEL.

3. Number of consumer complaints in respect of the following:

	FY 2023-24		Remarks	FY 2022-23		Remarks
	Received during the year	Pending resolution end of year		Received during the year	Pending resolution end of year	
Data privacy	0	0	-	0	0	-
Advertising	0	0	-	0	0	-
Cyber-security	0	0	-	0	0	-
Delivery of essential services	Not applicable					
Restrictive Trade Practices	0	0	-	0	0	-
Unfair Trade Practices	0	0	-	0	0	-
Other	-	-	-	-	-	-

4. Details of instances of product recalls on account of safety issues:

There are no instances of product recall that happened on account of safety issues.

5. Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, BHEL has an approved cyber security policy, which is internal to the organisation. Moreover, BHEL is in B2B business and does not deal with individual customers. Hence, any individual customer data is not stored.

Refer 'Data and Cyber Security' in Report of the Board of Director

6. Provide details of any corrective actions taken on Underway on issues relating of advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

Not applicable

7. Provide the following information relating to data breaches:

- Number of instances of data breaches
One instance of data breach happened during the year.
- Percentage of data breaches involving personally identifiable information of customers
Nil (0%)
- Impact, if any, of the data breaches

A ransomware incident on BHEL IT system occurred in January 5-6, 2024 night. The incident was reported to Computer Emergency Response Team (CERT-In), National Critical Information Infrastructure Protection Centre (NCIIP) and an online FIR was lodged with National Cyber Crime Reporting Portal. The impact of ransomware incident was seen mainly in few services like e-Office (file movement system), e-mail and File sharing server. Owing to robust cyber security measures and Disaster Recovery mechanism in place, the impacted services were restored successfully without any data loss and financial impact.

Leadership Indicators

1. Channels / platforms where information on products and services of the entity can be accessed (provide web link, if available).

Information on products and services of BHEL can be accessed from www.bhel.com

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

Operation Manual and Training on products or systems are provided to customers as per the contractual requirements. Furthermore, technical advisories are issued to customers for safe O&M of BHEL supplied machines on case-to-case basis.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

BHEL is in regular touch with its customers and any disruptions (e.g. due to pandemic in the recent past) are informed by emails, letter and any other communication means agreed to in the Contract/ Purchase Order. Further, proactive interactions with customers based on Performance Monitoring reports of the installed machines or customer feedback, helps in averting disruption of operations at the customer premise. Periodic communications in form of letters or other digital means are issued to customer about their machines which are due for overhaul or mandatory inspections.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/No/Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products / services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

Yes. All the required and standard information are displayed on the products dispatched by BHEL.

Yes. BHEL conducts customer satisfaction survey for major products/ services. However, no survey was conducted during FY 2023-24.

**For and on behalf of the Board of Directors of
BHARAT HEAVY ELECTRICALS LTD.**



K. Sadashiv Murthy

Chairman & Managing Director

Place: New Delhi
Date: July 27, 2024

To

Bharat Heavy Electricals Limited (BHEL).

BHEL House, Siri Fort, New Delhi-110049 (India)

Introduction and Objective of Work

BUREAU VERITAS has been engaged by Bharat Heavy Electricals Limited (hereinafter abbreviated as “BHEL”) to conduct an independent assurance of the Business Responsibility and Sustainability Report Core (hereinafter abbreviated as “BRSR Core”), consisting of the Key Performance Indicators (KPIs) under Environment, Social and Governance (ESG) attributes, which are mentioned in Annexure I, as prescribed under the Securities and Exchange Board of India (SEBI) Circular dated 12th July, 2023.

Intended User

The assurance statement is made solely for “BHEL and its stakeholders” as per the governing contractual terms and conditions of the assurance engagement contract between “BHEL” and “Bureau Veritas”. To the extent that the law permits, we owe no responsibility and do not accept any liability to any party other than “BHEL” for the work we have performed for this assurance report or our conclusions stated in the paragraph below.

Reporting Criteria

Reporting Framework based on BRSR Core, Business Responsibility and Sustainability Report as per Annexure 1 of the SEBI circular (SEBI/HO/CFD/CFD-SEC-2/P/CIR/2023/122,) dated July 12, 2023) BRSR Core KPIs.

The reported information of BRSR core based on following nine ESG attributes:

1. Green-house gas (GHG) footprint
2. Water footprint
3. Energy footprint
4. Embracing circularity - details related to waste management by the entity
5. Enhancing Employee Wellbeing and Safety
6. Enabling Gender Diversity in Business
7. Enabling Inclusive Development
8. Fairness in Engaging with Customers and Suppliers
9. Open-ness of business

Assurance Standards Used

Bureau Veritas conducted reasonable assurance of BRSR Core in accordance with the requirements of the International Federation of Accountants (IFAC), International Standard on Assurance Engagement (ISAE) 3000 (Revised) Reasonable Assurance & GHG as per "Assurance Engagements on Greenhouse Gas Statements" ISAE 3410. Under this standard, Bureau Veritas has reviewed the information presented in the report against the characteristics of relevance, completeness, materiality, reliability, neutrality, and understandability.

Scope and Boundary of Assurance

The scope of assurance involves evaluating the sustainability performance of non-financial disclosures for the period from 1st April 2023 to 31st March 2024, based on BRSR Core requirements.

Reporting Boundary: Only the standalone operations of BHEL.

As part of its independent reasonable assurance, we assessed the appropriateness and robustness of underlying reporting systems and processes, used to collect, analyse and review the information reported.

Independent Assurance Statement



The Scope of Assurance for BRSR Core includes:

- An assessment of the procedures or approaches followed for data compilation and reporting of the sustainability performance non-financial disclosures for specific operations.
- Testing, on a sample basis, of evidence supporting the data.
- Verification of the sample data evidence and information on selected material topics reported at the above-mentioned operations for the defined reporting period.
- Assessment of the suitability between the backup data for the selected sustainability performance non-financial disclosures and the information presented as per BRSR Core requirements.
- The General and topic-specific sustainability non-financial standard disclosures are subject to limited assurance based on the extent of information available for assurance.
- Completion of assurance statement for inclusion in the report reflecting the verification, findings, and conclusion of the disclosure's assurance.

The Methodology Adopted for Assurance

Bureau Veritas' sustainability assurance process involves specified procedures to obtain evidence regarding the accuracy and reliability of the data provided related to BRSR core disclosures. The nature, timing, and extent of procedures selected depend on the data and evidence provided, including the verification of the associated risks with the material topics of the selected sustainability non-financial disclosures and their relevance for the reporting period.

As per the scope of the assurance, sample evidence, information, and explanations that were considered necessary in relation to the assurance scope and following conclusions have been made:

- Assessed the report preparation in accordance with BRSR Core parameters applicable to BHEL operations.
- Evaluated the appropriateness of various assumptions used for data estimation and reviewed the report to ensure no misrepresentation of disclosures within the scope of assurance.
- Assessed adherence to the BRSR framework for Reasonable Assurance of Core parameters, including the principles of materiality, inclusivity, and responsiveness, and evaluated the systems used for data compilation and reporting.
- Verified systems and procedures for quantification, collation, and analysis of sustainability performance disclosures included in the report through site visits.
- Discussed with corporate office officials to understand sustainability risks and opportunities, BHEL's strategy to address them, and assessed the month-wise data for similarity, reliability, and accuracy.
- Evaluated the stakeholder engagement process through interactions with relevant internal stakeholders and review of related documentation. Reviewed the materiality assessment process and the processes for collection, compilation, and reporting of sustainability performance disclosures at the corporate and operational levels.
- Reviewed claims and data streams to determine the accuracy of statements in the report and the reliability of specified sustainability performance – Non-Financial Disclosure Assurance. Executed an audit trail of claims and data streams to determine the accuracy of data collection, transcription, and aggregation.
- Reviewed plans, policies, and practices pertaining to Environmental, Social, and Governance aspects to assess and evaluate the adequacy and fairness of BRSR Core reporting. Ensured the

Independent Assurance Statement



reports provide a balanced and reasonable representation of the organization's positive and negative contributions toward sustainable development.

- Assessed the reporting procedures for GHG emissions evaluated the appropriateness and reliability of various assumptions and calculations adopted for data estimation.
- Reviewed the report, supporting evidence, and documented data to ensure no misrepresentation of disclosures within the scope of assurance and findings.
- Discussed data presented in the report and the associated backup data with concerned personnel at BHEL Headquarters Corporate Level and operational level.
- Reviewed sustainability performance non-financial disclosures data based on data provided for respective units, including related backup, site visits to BHEL's operations and discussions with the concerned personnel.

Limitations and Exclusions

The assurance is limited to the above-mentioned scope of work and excludes the information relating to:

- Data related to the Company's financial performance disclosures.
- Activities and practices followed outside the defined assurance period stated hereinabove.
- Positional statements, expressions of opinion, belief, aim, or future intention by "BHEL" and statements of future commitment.
- The assurance does not extend to the activities and operations of "BHEL" outside of the scope and geographical boundaries mentioned in the report as well as the operations undertaken by any other entity that may be associated with or have a business relationship with "BHEL".
- Compliance with any Environmental, Social, and legal issues related to the regulatory authority.
- Any of the statements related to company aspects or reputation.

Our Findings

On the basis of our methodology and the activities described above,

- Nothing has come to our attention to indicate that the BRSR disclosures are inaccurate or that the information included therein is not fairly stated.
- It is our opinion that Company has established appropriate systems for the collection, aggregation, and analysis of data on Sustainability/Non-Financial performance disclosures in the BRSR.
- The BRSR disclosure on core parameter provides a fair representation of the Company's activities as included therein.
- The information is presented in a clear, understandable, and accessible manner, and allows readers to form a balanced opinion over the Company and status during the reporting period.
- BHEL's data and information on BRSR core disclosures for the period of 01 April 2023 to 31 March 2024 included in the Report, is, in all material respects, in accordance with the SEBI's BRSR guidelines.

Management Responsibility

BHEL is completely responsible for the report contents, identification of material topics, and data reporting structure. The selection of reporting criteria, reporting period, reporting boundary, monitoring, and measurement of data, preparation, and presentation of information for the report are the sole responsibility of the management of "BHEL". Bureau Veritas (BV) was not involved in the drafting or preparation of the report and any other backup data for the reporting period. The

Independent Assurance Statement



responsibility of BV was to provide reasonable independent assurance for the sustainability of non-financial disclosures as described in the scope of assurance.

The said assessment is properly based on the assumption that the data and information provided in the report are proper and without any discrepancy. Bureau Veritas shall not be held liable or responsible for any type of decision a person or entity would make based on this assurance statement. While reading the assurance statement, stakeholders shall recognize and accept the limitations and scope as mentioned above.

Uncertainty

The reliability of assurance is subject to uncertainty(ies) that is inherent in the assurance process. Uncertainties stem from limitations in quantification models used, assumptions, or data conversion factors used or may be present in the estimation of data used to arrive at results. Our conclusions with respect to this assurance are naturally subject to any inherent uncertainty(ies) involved in the assurance process.

Statement of Independence, Impartiality, and Competence

Bureau Veritas is an independent professional services company that specializes in Quality, Health, Safety, Social, and Environmental Management with almost 195 years of history in providing independent assurance services. Bureau Veritas has implemented a Code of Ethics across the business to maintain high ethical standards among staff in their day-to-day business activities. We are particularly vigilant in the prevention of conflicts of interest.

No member of the assurance team has a business relationship with "BHEL", its Directors, Managers, or officials beyond that required of this assignment. We have conducted this verification independently and there has been no conflict of interest.

Competence

The assurance team has extensive experience in conducting assurance over environmental, social, ethical, and health & safety information, systems and processes an excellent understanding of Bureau Veritas standard methodology for the Assurance of Sustainability Reports.

Restriction on use of Our Report

Our Reasonable assurance report has been prepared and addressed to the Board of Directors of the Company at the request of the company solely to assist the company in reporting on the Company's Sustainability performance and activities. Accordingly, we accept no liability to anyone, other than the Company. Our deliverables should not be used for any other purpose or by any person other than the addressees of our deliverables. The Firm neither accepts nor assumes any duty of care or liability for any other purpose or to any other party to whom our Deliverables are shown or into whose hands it may come without our prior consent in writing.

Amit Kumar
Lead Assurer
Bureau Veritas India Private Limited

New Delhi, India
Date: July 19, 2024

Munji Rama Mohan Rao
Technical Reviewer
Bureau Veritas India Private Limited

Hyderabad, India
Date: July 19, 2024